Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 1 of 6 · Question 2 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

2(a)	**AO2 1 mark** A an increase in exports and a decrease in imports	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** C GDP	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** reason • To meet basic needs • To raise living standards • For ethical reasons Accept any other appropriate response	**(1)**

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to structures and 1 mark for reference to being needed for the economy The systems/structures such as the transport network **(1)** needed for the operation of an economy **(1)** Accept any other appropriate response	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 1 of 6 · Question 2 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that direct tax revenues may increase **(1).** By having more workers in employment paying income tax **(1)** results in an increase in tax revenues for the German Government to spend in the economy **(1)** • One impact is that indirect tax revenues may increase **(1).** With more people in employment, demand for goods and services may increase **(1).** Taxes such as VAT for the German Government can then be used for government expenditure **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a reason Award 1 mark for developing the reason Award 1 mark for the response being in context • Some foreign-made toys may fail to follow requirements for product safety in the manufacturing process **(1).** This could result in unsafe toys being bought by UK consumers **(1).** The unsafe products may cause serious illness and even possibly death of a child **(1)** • The country of origin may have lower safety standards **(1).** The UK may have higher safety standards compared to other countries **(1).** This may have resulted in toys which are unsafe for UK consumers **(1)** Accept any other appropriate response	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 1 of 6 · Question 2 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Deregulation is a supply-side policy of making markets more competitive by removing barriers such as regulations • Regulations such as labour laws often create additional costs for firms which makes them less competitive in comparison to firms abroad • Experts have advised the government to reduce regulation in markets such as finance and transport • Removing labour market regulations such as a reduction in the minimum wage may result in the tourism sector reducing its overall labour costs and therefore being able to employ more workers • This may result in a reduction in the 11.6% rates of 15-29 year olds • Removing competition laws in the finance sector may also result in more firms entering the market and therefore employing workers and thereby reducing unemployment in South Korea **AO4** • However, deregulation may just result in firms saving on labour costs but not employing anymore workers • Reducing the minimum wage may result in less people willing and able to work thereby increasing unemployment rather than reducing it • Regulations are designed to protect workers, the environment and consumers so any removal of them may result in negative consequences for South Korea and lower standards of living • There are other supply-side policies such as lower income tax to encourage working which might be more effective in reducing unemployment • The overall effectiveness will depend on a range of economic factors within the South Korea economy not just the level of regulation	**(9)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 1 of 6 · Question 2 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 1 of 6 · Question 2 part f · 3 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 2 of 6 · Question 3 part b · 1 mark

2019 JUN · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **A** Trade in goods	**(1)**

Question Number	Answer	Mark
3(b)	**AO1 1 mark** **B** Dumping	**(1)**

Question Number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a method of government intervention. Award 1 mark for developing the method. Award 1 mark for the response being in context. • Use of taxation **(1)** A tax on polluting goods such as cars increases the cost to the consumer **(1)** There should be a reduction in car use and less pollution created **(1)** • Use of subsidies **(1)** The government could subsidise the manufacture of solar panels **(1)** This encourages consumers to switch to renewable energy reducing pollution from fossil fuels **(1)** Accept any other appropriate response.	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 2 of 6 · Question 3 part b · 1 mark

2019 JUN · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Unemployment represents a loss of output and therefore less GDP for a country • This could reduce standards of living for the population and increase poverty in the long run • The government will receive less tax revenue as there will be fewer workers in employment paying direct and indirect taxes • The government will have to pay out more in unemployment benefits to support the unemployed person whilst they are looking for a job • There is great pressure on the unemployed person as unemployment can cause social problems such as stress and health-related problems	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 2 of 6 · Question 3 part b · 1 mark

2019 JUN · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Inflation is the rate at which the general level of prices for goods and services is rising within an economy • This may make goods and services too expensive for many people and they cannot afford as much as they used to • The data shows the price of transportation and food has increased by 16.79% and 12.74%, which reduces the purchasing power of consumers if wages do not keep up with inflation • Shoe leather costs may increase as consumers must shop around to find the best deals on food and other products due to the high rates of inflation • Investment is likely to fall as firms lose confidence **AO4** • Inflation may not be a problem if wage increases keep up with inflation • Demand pull inflation may lead to a fall in unemployment as firms try to cope with rising demand • Although high rates of inflation are bad for an economy, low rates of inflation can also have disadvantages to an economy • Figure 3 shows the inflation rate fluctuates over the period of time and much will depend on future fluctuations	**(9)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 2 of 6 · Question 3 part b · 1 mark

2019 JUN · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 2 of 6 · Question 3 part b · 1 mark

2019 JUN · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 3 of 6 · Question 1 part g · 3 marks

2020 JAN · Paper 02 (regional R) · extract 1 of 6 · find part g in this mark scheme extract

1(a)	**AO1 1 marks** **B** Inflation rate	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** privatisation	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to economic cycle and 1 mark for reference to high levels of economic activity/employment A phase in the economic cycle **(1)** with the highest levels of economic activity/with the highest levels of employment **(1)**. Accept any other appropriate response.	**(2)**

Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to time and effort and 1 mark for reference to purchasing goods The costs to firms and consumers of searching for the lowest prices **(1)** when inflation is high/prices are rising rapidly **(1)**. Accept any other appropriate response.	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 3 of 6 · Question 1 part g · 3 marks

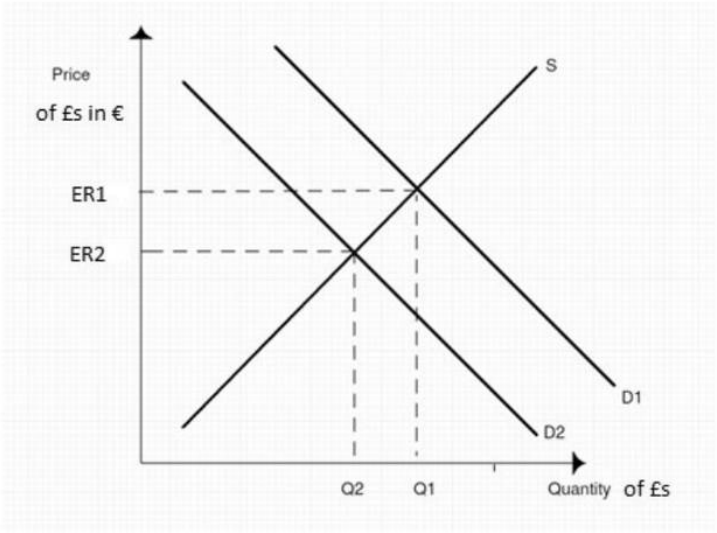
2020 JAN · Paper 02 (regional R) · extract 2 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation. 150 000 x 70.66 INR **(1)** Award 1 mark for the correct answer. = 10 599 000 INR **(1)** Award 2 marks if the correct answer of 10 599 000 INR is shown, with Indian Rupee symbol, even if no calculations are shown. Award 1 mark if correct answer is shown, but with no Indian Rupee symbol, even if no calculations are shown. Do not award marks for the formula.	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 3 of 6 · Question 1 part g · 3 marks

2020 JAN · Paper 02 (regional R) · extract 3 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of demand, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 3 of 6 · Question 1 part g · 3 marks

2020 JAN · Paper 02 (regional R) · extract 4 of 6 · find part g in this mark scheme extract

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to gain market share **(1).** Barley producers in China might be forced out of production **(1)** resulting in a higher market share for Australian barley producers **(1).** • One reason is to get rid of surplus goods **(1).** Australia may have produced too much barley in one year **(1).** Reducing the price may result in higher demand for Australian barley in China **(1).** Accept any other appropriate response.	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 3 of 6 · Question 1 part g · 3 marks

2020 JAN · Paper 02 (regional R) · extract 5 of 6 · find part g in this mark scheme extract

Question Number	Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Direct taxes are government charges imposed on income and wealth • Lowering direct taxes such as income tax rates will result in employees keeping more take home pay • This increases disposable income from employment and gives an incentive to work rather than live on benefits • Increased income could be spent on more/better quality goods and services, thereby increasing standard of living in Vietnam • With greater disposable income being spent within the Vietnamese economy, output and employment may increase

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 3 of 6 · Question 1 part g · 3 marks

2020 JAN · Paper 02 (regional R) · extract 6 of 6 · find part g in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 4 of 6 · Question 1 part d · 2 marks

2021 JUN · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** Seasonal A is not correct because this is caused by changes in whole industries B is not correct because this is caused by falling demand as a result of a downturn in the economic cycle D is not correct because this is caused from people choosing not to work	**(1)**

Question Number	Which **one** of the following terms refers to a tax on imported goods? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is **B** Tariff A is not correct because this is money paid by a government to reduce costs and lower prices C is not correct because this is a financial penalty for firms that break laws D is not correct because this is a document that gives business the right to discharge a certain quantity of polluting material	**(1)**

Question Number	What is meant by the term recession? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to fall in GDP and 1 mark for reference to time period A fall in GDP **(1)** for two successive quarters **(1)**. Accept any other appropriate response	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 4 of 6 · Question 1 part d · 2 marks

2021 JUN · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

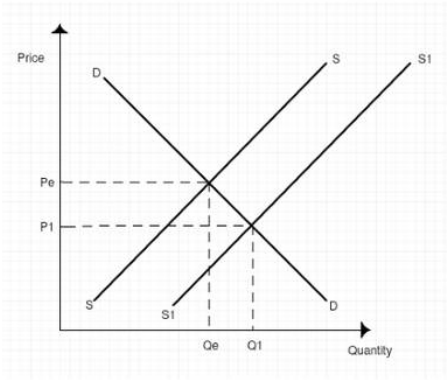
Question Number	What is meant by the term dumping? Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to exporting goods and 1 mark for reference to the price being below manufacturing costs A firm sells goods in another country **(1)** below the cost of production **(1).** Accept any other appropriate response	**(2)**

Question Number	Calculate **the fiscal surplus/deficit in Indian rupees crore (Rs)** for India in 2019–2020. You are advised to show your working. Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 2 080 201 Rs – 2 784 200 Rs **(1)** Award 1 mark for the correct answer = –703 999 Rs **(1)** Award 2 marks for the correct answer of –703 999 Rs even if no calculations are shown. Award 1 mark if the answer given is –703 999 with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 4 of 6 · Question 1 part d · 2 marks

2021 JUN · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the likely effects of the introduction of a subsidy on the equilibrium price and quantity of new cars for families with three or more children. Label the new curve, the new equilibrium price and the new equilibrium quantity. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain **one** benefit to the UK Government of providing parks. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant benefit Award 1 mark for developing the benefit Award 1 mark for the response being in context • One benefit is that national parks can protect a large area of land **(1)**. The Lake District National Park has over 12% of woodland that is protected **(1)**. Restrictions are in place to stop business activities that could damage the environment **(1)** • One benefit is that national parks can be used for recreational purposes **(1)**. Over 19.17 million people visited the Lake District National Park in 2018 **(1)** increasing tourism for local firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 4 of 6 · Question 1 part d · 2 marks

2021 JUN · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the benefits of FDI for a country such as Ireland. Indicative content
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • FDI is the value of inward investment from other countries/firms into a country • FDI can bring in capital investment to Ireland as MNCs will need buildings, equipment and infrastructure to operate within the country • Jobs can be created by MNCs which reduces unemployment and increases disposable income in Ireland • There may be increased demand for the products or services of local Irish firms that supply MNCs • MNCs may train up the local workforce and MNCs often bring new technologies, techniques and methods • Increased employment and wages should lead to increased tax for the Irish Government • Exports may also increase therefore improving the balance of payments for Ireland

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity an organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 4 of 6 · Question 1 part d · 2 marks

2021 JUN · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	An appreciation in a country's exchange rate is most likely to lead to which **one** of the following? Answer	Mark

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 5 of 6 · Question 1 part d · 2 marks

2021 NOV · Paper 02 · extract 1 of 5 · find part d in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **D** Quota A is not correct because this refers to currency and not a product B is not correct because this relates to price rather than quantity C is not correct because this defines a good not provided by the market	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** Supply-side A is not correct because this refers to exchange of goods and services B is not correct because this concerns government revenue and expenditure D is not correct because this is the price of one currency in terms of another	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to GDP/economic cycle and 1 mark for reference to speed A period where GDP is still growing **(1)** but more slowly **(1)** Accept any other appropriate response	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 5 of 6 · Question 1 part d · 2 marks

2021 NOV · Paper 02 · extract 2 of 5 · find part d in this mark scheme extract

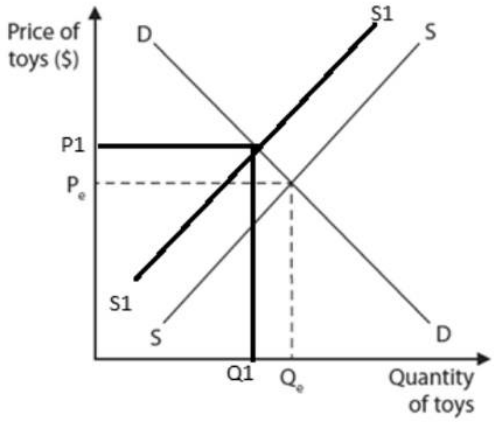
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to new industry and 1 mark for reference to not well known in the market New/fledgling industries **(1)** that have yet to establish themselves **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £73m x €1.08 **(1)** Award 1 mark for the correct answer. = €78 840 000 or €78.84m **(1)** Award 2 marks for the correct answer of €78 840 000 or €78.84m even if no calculations are shown Award 1 mark if the answer given is 78 840 000 or 78.84m with or without calculations shown Do not award marks for the formula	**(2)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 5 of 6 · Question 1 part d · 2 marks

2021 NOV · Paper 02 · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for leftward shift of supply curve, labelled Award 1 mark for higher equilibrium price, labelled Award 1 mark for lower equilibrium quantity, labelled  **Figure 1**	**(3)**

Question Number	Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is an increase in inflation **(1)**. Growth of 4.9% in Malaysia means that firms will require more resources to make more goods and services **(1)**. If there is a shortage of resources then this might result in cost push inflation **(1)** • One disadvantage is the damage caused to the environment **(1)**. Growth of 4.9% means more resources will be required to make goods and services **(1)**. This could result in an increase in pollution levels within Malaysia **(1)** Accept any other appropriate response	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 5 of 6 · Question 1 part d · 2 marks

2021 NOV · Paper 02 · extract 4 of 5 · find part d in this mark scheme extract

Question Number	**Indicative content**
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to control (aggregate) demand in the economy • Monetary policy can be used to reduce inflationary pressures in Kenya by the central bank increasing interest rates • An increase in interest rates above the current 9% base rate might help to reduce spending and investment in the economy thus slowing down economic activity and reducing inflationary pressure • There might be a greater reward for saving which may discourage consumers from spending helping to reduce (aggregate) demand and therefore inflation in the economy • A rise in interest rates may increase the value of the currency which could result in cheaper imports and therefore reducing inflation

Level	**Mark**	**Descriptor**
	0	No rewardable material.
Level 1	1–2	Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 5 of 6 · Question 1 part d · 2 marks

2021 NOV · Paper 02 · extract 5 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 6 of 6 · Question 2 part b · 1 mark

2024 NOV · Paper 02 · extract 1 of 6 · find part b in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **A** Appreciation B is not correct because this is when there is a fall in the value of the exchange rate C is not correct because this is when a government fixes a new higher exchange rate D is not correct because this is when a government fixes a new lower exchange rate	**(1)**

Question Number	Which **one** of the following is a reason for why there is protection for international trade? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** To protect domestic jobs A is not correct because trade protection aims to stop dumping B is not correct because trade protection reduces free trade D is not correct because trade protection should help to reduce the current account deficit	**(1)**

Question Number	State **one** possible impact of globalisation on consumers. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Rising living standards • Greater choice • Lower prices • Dangerous products Accept any other appropriate response	**(1)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 6 of 6 · Question 2 part b · 1 mark

2024 NOV · Paper 02 · extract 2 of 6 · find part b in this mark scheme extract

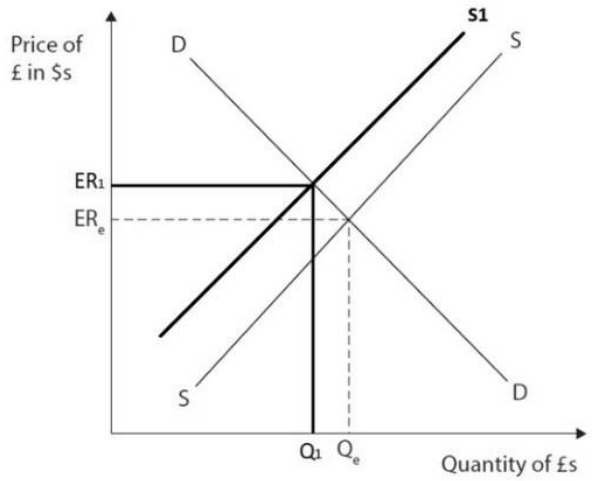
Question Number	What is meant by the term asset purchasing? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition When a central bank buys government bonds/financial assets **(1)** from commercial banks **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** reason why there might be a trade-off between economic growth and environmental protection for an economy such as China. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that environmental protection can increase the cost of doing business **(1).** Firms may need to invest in new equipment/technologies to reduce emissions **(1)** which may result in slower economic growth **(1)** • One reason is that more environmental protection such as restrictions may limit business activity **(1)** to reduce emissions/pollution from factories **(1)**, which could lead to lower economic growth **(1)** Accept any other appropriate response	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 6 of 6 · Question 2 part b · 1 mark

2024 NOV · Paper 02 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the likely effect of a decrease in imports from the US on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a leftward shift of the supply curve, labelled Award 1 mark for a higher equilibrium exchange rate, labelled Award 1 mark for a lower equilibrium quantity, labelled  **Figure 3**	**(3)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 6 of 6 · Question 2 part b · 1 mark

2024 NOV · Paper 02 · extract 4 of 6 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible impact of the introduction of AI on the levels of structural unemployment. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Structural unemployment is caused by a mismatch between the skills that workers in the economy can offer and the skills demanded of workers by employers • In the case of the introduction of AI, this could be caused by the introduction of new technology • AI can perform repetitive and routine tasks more efficiently and accurately than humans • As a result, jobs that involve tasks like data entry, basic coding or even certain aspects of journalism may be automated, leading to the replacement of workers in these industries • This can contribute to higher levels of structural unemployment rates among workers in these types of job roles which can be seen in the planned job cuts at IBM and BT • Some workers may not have the necessary skills for the new jobs being created in the AI and technology sector resulting in an increase in structural unemployment **AO4** • However, while AI can eliminate certain jobs, it can also create new job opportunities • For example, the development, maintenance and running of AI systems require skilled IT professionals • New industries and job roles related to AI and technology may emerge potentially absorbing some of the unemployed workers • AI can boost productivity and efficiency in various sectors potentially leading to economic growth • A growing economy can create more job opportunities in non-routine and creative roles that are less susceptible to AI • AI and new technology have enabled an increase in remote work/working from home which can expand job opportunities for individuals	**(9)**

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 6 of 6 · Question 2 part b · 1 mark

2024 NOV · Paper 02 · extract 5 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Why countries protect trade: dumping, infant industries, jobs, safety

Answer 6 of 6 · Question 2 part b · 1 mark

2024 NOV · Paper 02 · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Which **one** of the following is an advantage of a government giving subsidies to domestic producers? **Answer**	Mark